

How is the Padel Business playing out?

WHAT YOUR CLUB AND BRAND SHOULD KNOW



ABOUT ME

Last summer I was in Barcelona at the Padel World Summit, the largest padel trade fair in the world. I have been running CoolPadel for a while, a business of tennis, padel, and pickleball keychains for clubs and brands, and as a padel enthusiast, I could not miss the opportunity

During the event, I spoke with 116 of the 120 stands that were there, and with many other attendees who told me how they saw the industry. Additionally, this March I have been at RacquetX and at the Miami Premier Padel and I have been able to see the state of the North American market

In general terms, I believe that padel as a business is a present opportunity with a lot of future. Even so, this by no means implies that everything is as attractive as it sometimes seems. Hype is a common companion and one must be careful. Without a doubt, the key lies in the solid base of amateur players that does not stop growing



JAVIER VILLORIA SOLETO

ABOUT ME

With this report, I am not looking for technical rigor or to bore you with data. I have tried to do it in a schematic way, dynamic to read and with as little wordiness as possible. What I am trying to tell here are my conclusions from all these conversations, which do not necessarily have to be correct. Nor am I trying to include everything that is happening in the world of padel, and I trust that it will be useful for everyone who reads it

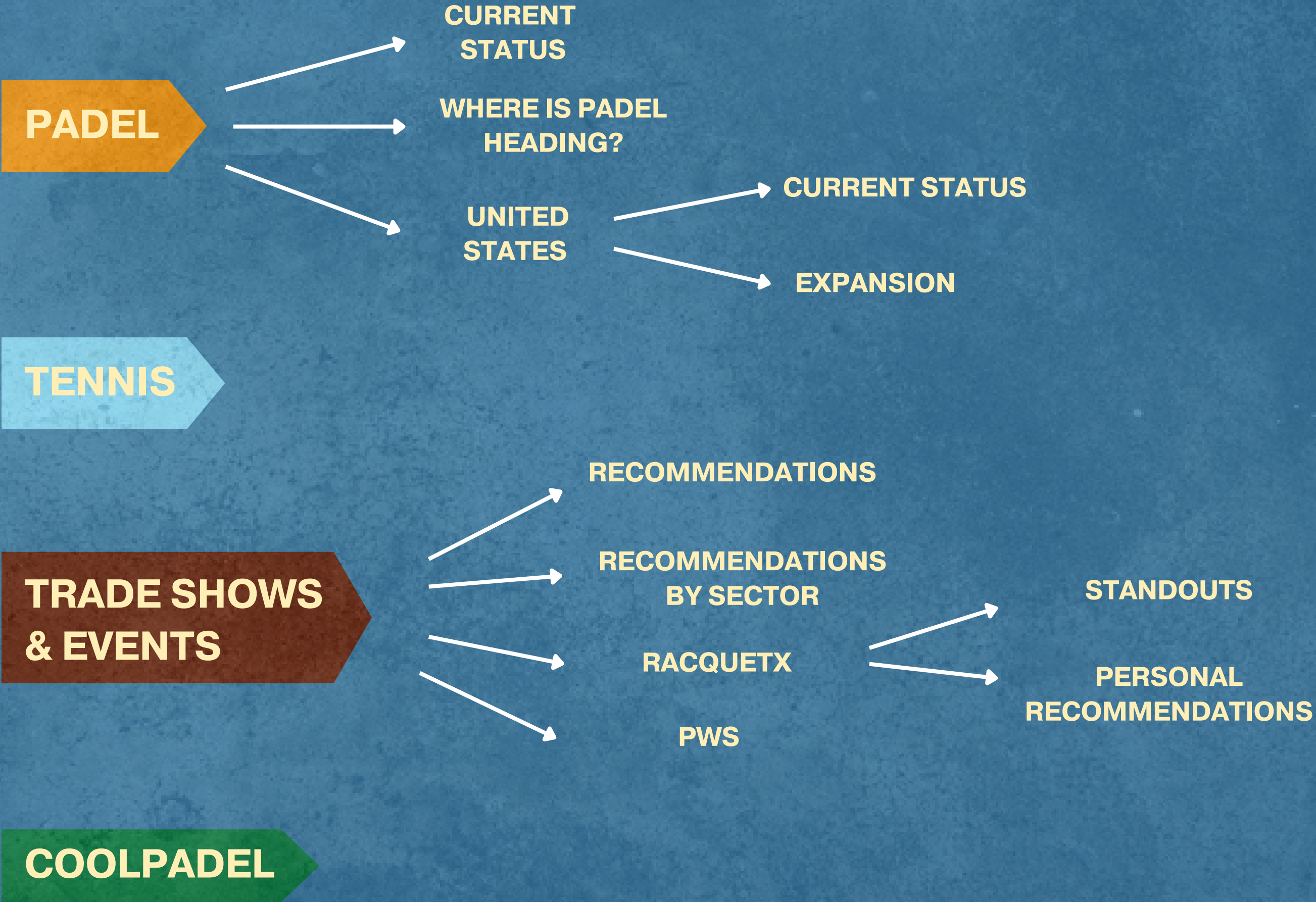
In short, I have preferred to focus on the current situation of the sector and where it is headed. I highly recommend the final section, with some personal recommendations for brands that set up stands or are considering doing so. I believe it can help those companies for which this represents a significant part of their budget. All this comes about because it makes me quite sad to see marketing budgets and hopes that do not end up giving the expected result. As an example, I talk about the companies that, from my point of view, I believe have stood out the most in these events, both professionally and personally



JAVIER VILLORIA SOLETO



.. **INDEX** ..



PADEL





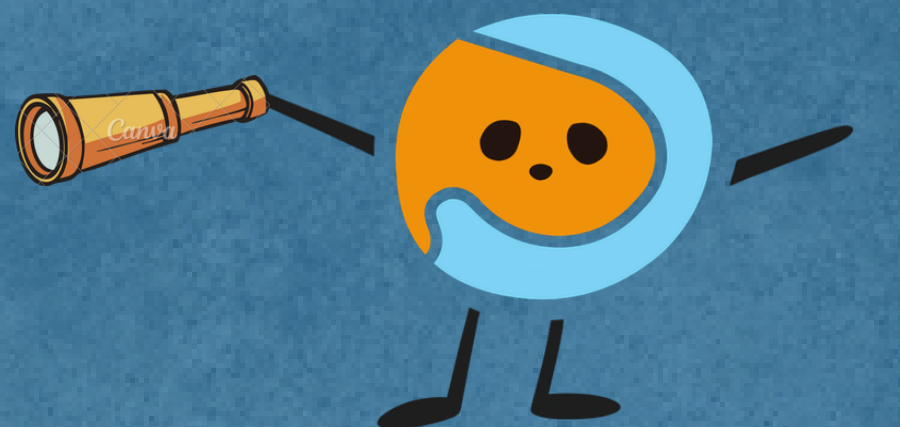
CURRENT STATE OF PADEL



**It is growing
rapidly,**

But even so

- At a general level, in Europe the number of clubs is increasing at a frantic pace, with more and more courts available
- However, they are finding it difficult to fill the courts during off-peak hours
- There is a clear need to create a community as a club to be able to generate more matches, events, and tournaments
- This is why I believe many clubs are moving towards a more American club vision, integrating additional services and offering a more premium experience



COOL  ADEL

WHERE IS PADEL
HEADING?

WHERE IS PADEL HEADING?

1. CONSOLIDATION



2. SMART COURTS



3. COMMUNITIES



4. PADEL LIFESTYLE



1. Consolidation

- Padel is undergoing a professionalization stage, with investors and funds investing in the sport in a more organized way
- Given the great reception it has in society, high returns are sensed, but they are by no means guaranteed
- The recent example of Sweden is a reminder of the importance of growing sustainably to avoid potential bubbles



WHERE IS PADEL HEADING?



Premier Padel



- At an amateur level the growth is unquestionable, but what about the professional level?
- Premier Padel is expanding the sport and making it known worldwide
- Major sports figures are betting on padel, investing in it and promoting it openly
- The question is whether padel will be able to generate digital and television audiences sustainably or if it will remain relegated to a niche
- I believe things are being done well, it is in an initial phase and people are starting to take an interest in professional players and tournaments. For this, it is necessary to continue thinking long-term and making it as accessible as possible



2. Smart Courts

Smart Courts

- Courts where different technologies and home automation solutions adapted to padel coexist, with the aim of improving the player experience and reducing costs for club managers
- Its functions are grouped into four major blocks:
 1. **Management:** bookings, access, memberships, and billing
 2. **Lighting and Automation**
 3. **Game Experience:** both in terms of entertainment and analysis and performance
 4. **Sustainability and Efficiency**



WHERE IS PADEL HEADING?



Save my Play

- Save My Play markets sports cameras with artificial intelligence that allow players to record and share their highlights automatically

SportAI

- They have partnered with SportAI, a startup that uses artificial intelligence to analyze athletes' technical performance from video, providing detailed statistics and data analysis



3. Communities

Communities

- As a club it is necessary to offer more than just padel courts, the player wants to feel part of a community
- Despite the boom padel is experiencing, filling courts during off-peak hours or for tournaments remains a challenge. A diverse community is one of the most interesting options
- Business communities are also emerging, such as Padel22 or PadelBizNetwork, organizing the sector by geographic areas



4. Padel Lifestyle



Padel Lifestyle

- Padel is becoming a cultural and social movement that people adopt as part of their personality
- This turns clubs into more than just sports facilities. They are social hubs that are part of the players' lives. This makes clubs with coworking areas, recovery zones, or social spaces necessary to create a post-match experience
- World-renowned brands such as On, Rolex, Red Bull, Cupra, or Alpine are betting on padel through sponsorships and activations. Synergies with padel brands are emerging, a path with great potential but often under-exploited



WHERE IS PADEL HEADING?



X



Babolat x Lamborghini

- An example of how two brands can benefit from a synergy
- Two high-end brands come together to launch a racket model. They reach new audiences, share technological knowledge, create content, and reinforce each other
- Lamborghini finds its perfect partner to enter the world of padel and Babolat positions itself as a luxury brand, something that is not common in its sector
- An example of how two leading brands in different sectors can create shared value without diluting their identity





“ CURRENT STATE OF PADEL IN THE UNITED STATES ”

CURRENT STATE OF PADEL IN
THE UNITED STATES

American
market size



Year	N° of Courts
2022	300
2024	500
2025	850
2026 Q1	+1000

- These are approximate figures that reflect a clear upward trend, with growth forecasts projected to be even higher



CURRENT STATE OF PADEL IN THE UNITED STATES

Club model

Premium

- Inaccessible to the general public
- Around \$25 per person for an hour and a half, reaching \$100 in New York

Memberships

- Monthly membership model
- Includes discounts, priority booking, access to additional services, and even unlimited play



Differences with Europe

Experience

- Sport is not enough to attract the player; complementary services are needed, such as a gym, sauna, recovery, and multidisciplinary events like yoga, pilates, concerts...
- This increases costs but opens the door to new audiences

Adaptation

- Companies must adapt their product to geographic complexities and weather conditions, such as snow or hurricane regulations



CURRENT STATE OF PADEL IN THE UNITED STATES

Why these prices?



Land cost

- Very high, especially in large cities

Indoor

- Due to extreme temperatures in some areas
- Difficult to find industrial estates with heights exceeding 7m

Exclusivity

- Being novel makes it attractive and makes people willing to pay for it

All of this ultimately impacts the final price



CURRENT STATE OF PADEL IN THE UNITED STATES

**Is it a
sustainable
model?**



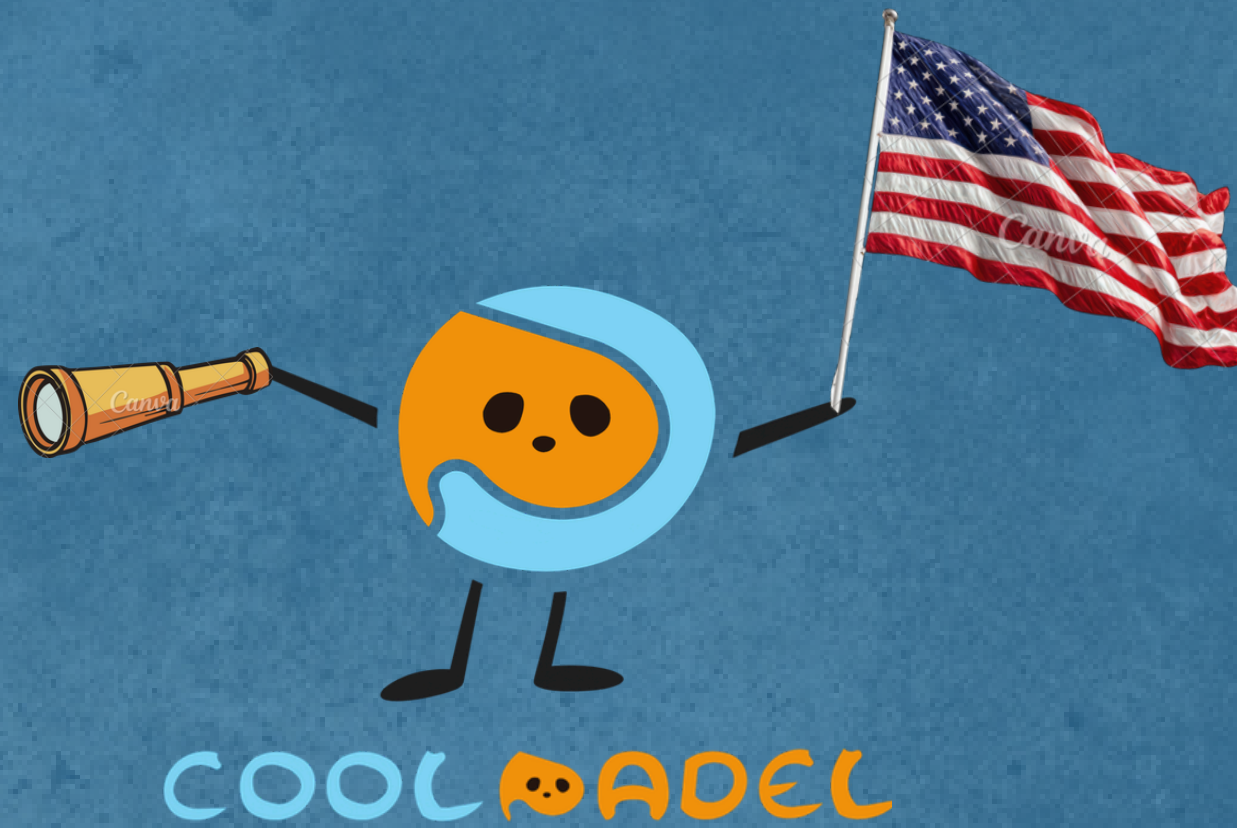
Consequences

- This model is directly slowing down the expansion of padel for the general public
- Brands are betting on it eventually becoming a global sport

Is it transitory?

- As more clubs appear, players will not pay for memberships at multiple clubs to play in all of them
- At the same time, being an exclusive sport has its own appeal for those who practice it





EXPANSION OF PADEL IN THE UNITED STATES

EXPANSION OF PADEL IN THE UNITED STATES

Initial resistance

- The general feeling is that it is taking longer to kick off than expected
- It is a very attractive market as soon as the population starts playing, and brands want to position themselves early
- What works in Europe does not always work in the United States, so brands look for local providers or create independent local subsidiaries with workers who understand the market



EXPANSION OF PADEL IN THE UNITED STATES

Pickleball → Padel

- At RacquetX, padel has completely overshadowed tennis and pickleball. Despite being the most practiced racquet sport in the United States, pickleball does not seem like such an attractive market
- The vision of most clubs and brands is to use pickleball to attract American customers and position themselves as soon as possible, thereby introducing them to padel and leading the transition from pickleball to padel
- Currently, 37% of padel facilities also have pickleball courts. This is giving rise to the "hybrid player," who alternates between different racquet sports



KEY TAKEAWAYS



Growth is unstoppable, but filling the courts during off-peak hours remains the major challenge



Padel is more than the sport itself and is becoming a cultural movement



It is becoming professionalized with advances in technology and improvements in the playing experience



Clubs need to create player communities, growing sustainably and not just by renting out courts



In the US, it is growing rapidly, despite high prices preventing it from becoming a mass-market sport



TENNIS



At a professional level

Unsustainable

- The main innovation in tennis is occurring at the professional level. There is great concern regarding the ATP tour since, beyond the top players, the sport is not sustainable. Starting from world number 50, sponsorships begin to decrease while player expenses are very high: coaches, travel, physios, and nutrition
- Several alternatives are emerging, most notably Intennse



INTENNSE
TENNIS. TURNED UP.

Intennse

- Intennse is a professional tennis league that aims to reinvent the traditional circuit with a more dynamic format, featuring a team-based model and 90-minute matches divided into 10-minute segments
- Intennse seeks to make tennis more inclusive and sustainable, generating interest and media attention for audiences and sponsors beyond the top players in the ATP rankings





TRADE FAIRS & EVENTS





RECOMMENDATIONS FOR TRADE SHOWS

Why this section?

- During this RacquetX, I have seen that there are booths that sometimes seem invisible, attracting fewer people, while others seem to have no problem at all and spark a lot of interest
- Therefore, I would like to share some recommendations that I have been observing because I believe that by changing just a few details, the experience for both exhibitors and visitors can be improved
- My goal is for companies to make their investment profitable and make the most of the opportunity
- Evidently, these are my own opinions; I understand that you might disagree or that I could be wrong



Is a booth worth it?

- Setting up a booth at one of the world's largest trade fairs is a unique attraction. However, it is essential to evaluate whether it is truly worth it
- The budget for a booth can range approximately from €3,000 for the smallest ones to €10,000 for larger and better-positioned ones, potentially reaching much higher figures depending on booth decoration, sponsorships, and activations
- To all of this, you must add the cost of plane tickets, hotel stays, per diems, and other expenses
- All of this is concentrated into 3 days in which you expect to generate a business volume, contacts, and brand reputation that compensates for the investment





NEXT STOP: PWS

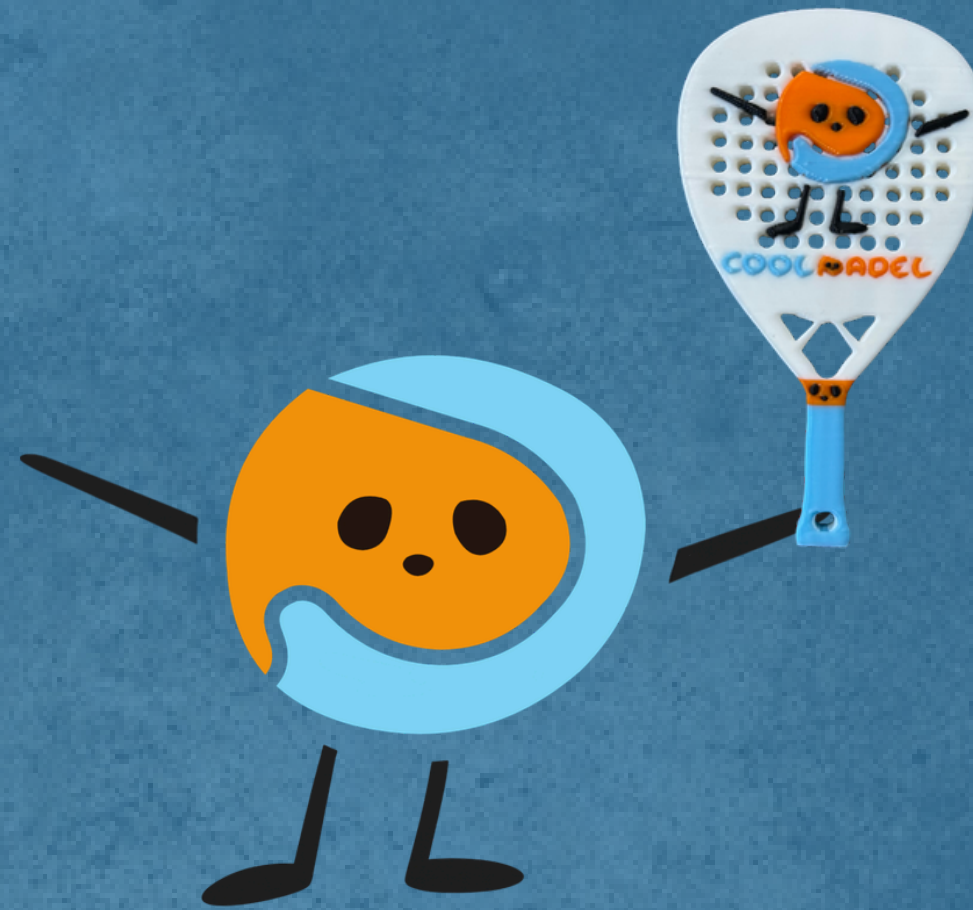


NEXT STOP: PWS



- This year, I will return to the world's largest padel trade fair from May 26th to 28th in Barcelona
- I recommend attending both as an exhibitor and as a visitor. Very well organized and with a high-quality audience
- The entire padel industry gathered in one place, highly accessible and with everyone ready to talk to you





.. WHAT IS COOLADEL? ..

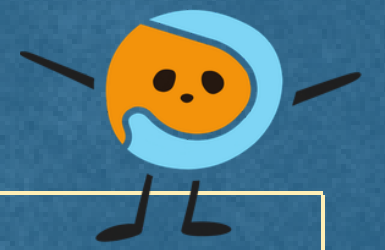
COOLPADEL



- I design and manufacture custom padel and tennis keychains
- I started this as a hobby two years ago, and I have already worked with over 30 clubs, brands, and federations
- With CoolPadel, I aim to help clubs and brands offer an original gift to their players, featuring their own logo and colors. A small gesture to make them feel part of the community. It might seem like a small thing, but it's something you put on your racket bag or your keys and carry with a smile every day



THANK YOU



First of all, thank you so much if you've made it this far. I hope you enjoyed it, found it useful, and that it wasn't too long of a read.

Since you've taken the time to read this, I would truly appreciate it if you could send me a message with your feedback. I'm planning to create another edition following PWS, and your input would help me fine-tune the details. Depending on the response this gets, I'm considering starting a blog about the padel industry, featuring companies and clubs I'd like to highlight—we'll see! If you have a project you'd like to discuss, don't hesitate to reach out. See you in Barcelona!



JAVIER VILLORIA SOLETO